The Rush to Buy Foreign

It is truly marvelous the way U.S. investors, seeing all these beneficent events in the world, decided all at once that international investing was the thing to do. Up until 1993, about 5 percent of the cash flow from investors, both individuals and institutions, was heading outside the United States. But in 1993 the money earmarked for international funds jumped from 5 percent of the total to 50 percent. I don't know why the percentage went from 5 percent to 50 percent instead of from 5 percent to 14 percent or some other more likely number, but it happened—the most dramatic shift in market-share preference that I have ever seen. By the fall of 1993, $4 billion a month was pouring into international funds. At the same time institutions were increasing their overseas holdings, though not as overwhelmingly. Suddenly, everyone seems to have realized that Malaysia and Hungary and all the rest of the once-ignored nations were shouting, "Hey, we need your money and we'll pay you more for it than you can get at home." People overdid it in 1993, as usually happens, and 1994 was a down year for foreign stocks, with 1995 and 1996 only modestly better.

Americans underown foreign stocks.

There's no stopping the tide now. I agree with those who say that in a few years U.S. investors will have 15 or 20 percent of their investments in non-U.S. companies (it's about 8 percent now). What's more, I believe that 20 percent is too small an allocation. I think a third would be more like it, maybe even 50 percent.

One reason for the new willingness to entrust money to overseas